

Babson's forecast caused a sharp break in the market, and the reaction to it was even more furious than that to Warburg's. *Barron's* said he should not be taken seriously by anyone acquainted with the "notorious inaccuracy" of his past statements. The great New York Stock Exchange house of Hornblower and Weeks told its customers, in a remarkably resonant sentence, that "we would not be stampeded into selling stocks because of a gratuitous forecast of a bad break in the market by a well-known statistician." Even Professor Irving Fisher of Yale University, a pioneer in the construction of index numbers, and otherwise the most innovative economist of his day, spoke out sharply against Babson. It was a lesson to all to keep quiet and give tacit support to those indulging their euphoric vision.



Economist Roger Babson's forecast of the crash of 1929 brought him grave rebuke from the great financial houses of the time.

Without, I hope, risking too grave a charge of self-gratification, I might here cite personal experience. In the late winter of 1955, J. William Fulbright, then the chairman of the Senate Banking and Currency Committee, called hearings to consider a modest speculative buildup in the securities market. Along with Bernard Baruch, the current head of the New York Stock Exchange, and other authorities real or alleged, I was invited to testify. I refrained from predicting a crash, contented myself with reminding the committee at some length as to what had happened a quarter of a century earlier, and urged a substantial protective increase in margin requirements—down payments on the purchases of stocks. While I was testifying, the market took a considerable tumble.